MONEY DILEMMAS WITH Vanessa Stoykov

WHAT WOULD YOU DO?

THE NEXT STEP

PROPERTY & YOUR FINANCIAL FUTURE

Should you buy an investment property, upgrade your home or wait?

A practical guide to making property decisions with your eyes open

WITH VANESSA STOYKOV

Featuring insights from property expert Peter Matthews

Companion to Money Dilemmas - What Would You Do?

Australian property and tax context

Welcome

Property is one of those subjects everyone has an opinion on. Friends tell you to buy before prices rise. Others say the market is about to fall. Then someone mentions tax advantages and suddenly a decision that could shape the next 20 years feels urgent.

In my Money Dilemmas conversation with property expert Peter Matthews, we heard from Maria. She and her partner are in their early 40s, have worked hard to pay down their mortgage and are considering using their home equity to buy an investment property. But they're worried about getting it wrong.

Peter challenged the assumption that another investment property is automatically the next step. He encouraged Maria to consider her time frame, the market, the risks of borrowing and even whether upgrading the family home could better serve her future.

This guide is for anyone weighing up a major property decision. You don't need to agree with every market prediction to benefit from asking the right questions.

Good luck on having the right conversations,

Vanessa Stoykov



How to use this guide

1. Read the expert insights and note which ideas apply to your circumstances.

2. Complete the worksheets with your own figures, or estimates you can verify.

3. Take your questions to a mortgage broker, financial adviser, accountant or solicitor as appropriate.

4. Revisit your answers before committing to a loan, contract or major purchase.



Featuring insights from

Peter Matthews

Property expert

SECTION 01

The dilemma: Is another property really the answer?

Maria and her partner have built equity in their family home. Their original plan was to borrow against that equity, buy an investment property and hold it until retirement. Now they're hearing conflicting views about the market, negative gearing, capital gains tax and new builds.

Peter's strongest message was not to rush. In the interview he expressed a cautious view of the property market and suggested Maria examine several strategies rather than assume she must become a landlord. His market outlook and comments about tax policy are opinions expressed in the episode, not guaranteed forecasts or statements of current law.

Five insights from Peter's interview

1. Start with your time frame. Property is generally an illiquid investment with significant buying and selling costs.

2. Do not make a major decision simply because someone predicts prices will rise or fall.

3. Consider your existing home as part of your strategy, not just as security for another loan.

4. Compare investment property with alternatives, including upgrading your home or waiting.

5. Do the numbers for your life, including debt, cash flow, tax, maintenance and your plans for retirement.

Your starting point

What is the real reason I am considering another property - income, long-term growth, security, lifestyle or fear of missing out?

What would a successful outcome look like in ten or twenty years?

SECTION 02

Understand what you can afford - not just what you can borrow

A lender's borrowing limit is not a personal comfort limit. If you use equity in your family home to fund another purchase, that home may also be exposed to the consequences of investment losses or repayment problems, depending on how the loans and security are structured.

Your financial snapshot

Item	My estimate (A$)
Family home value	
Mortgage owing	
Home equity (value less mortgage)	
Savings and accessible investments	
Household monthly take-home income	
Monthly living expenses	
Existing monthly debt repayments	
Emergency savings	

Before you proceed, ask a broker to explain exactly which property secures which loan, the total debt you would carry, and what happens if you cannot meet repayments.

SECTION 03

Compare three different property strategies

Peter raised an important alternative: instead of buying a second property, Maria might consider investing in or upgrading her principal place of residence. That is one possibility, not a universal recommendation. Upgrading also creates costs, larger potential debt and concentration in a single asset.

Option	Potential benefit	Questions or risks
Buy an investment property	Possible rent and long-term capital growth	Vacancy, repairs, debt, taxes, tenant obligations, sale costs
Upgrade or improve your home	Potential lifestyle benefit and home value growth	Stamp duty, moving/renovation costs, bigger mortgage, no rental income
Wait and strengthen your position	More savings, research and flexibility	Prices or rates could move against you; no guaranteed better entry point

My options worksheet

Which option fits my goals best today, and why?

What would make me change my mind?

SECTION 04

The true cost of an investment property

The purchase price is only the beginning. A property that looks affordable on paper can put real pressure on a family budget.

Costs to investigate

- Deposit and borrowing costs, including any lenders mortgage insurance
- Stamp duty or transfer duty, conveyancing and inspections
- Mortgage interest and principal repayments
- Council rates, water, strata or owners corporation fees
- Landlord insurance, property management fees and leasing costs
- Repairs, maintenance, renovations and unexpected special levies
- Periods without a tenant, unpaid rent and potential rent changes
- Land tax where applicable and tax on net rental income or capital gains

A simple monthly cash-flow test

Monthly item	Illustrative A$	My estimate A$
Rent received	2,600	
Mortgage repayments	(3,400)	
Rates, strata, insurance, management and repairs	(650)	
Monthly cash-flow difference	(1,450)	

The example is illustrative only. It excludes some transaction and tax costs. Loan repayments include principal, which is not generally a deductible expense; your accountant can distinguish cash flow from taxable income.

If the property cost me this amount each month, could I comfortably cover it for several years?

SECTION 05

Test the uncomfortable scenarios

Peter discussed the risk of needing to sell during a falling market. Nobody knows exactly where prices will go. What matters is whether your finances can withstand a disappointing outcome.

Your resilience checklist

- ☐ If interest rates rose, could I still meet all repayments?
- ☐ Could I carry the property through several months without rent?
- ☐ Could I pay for a major repair without relying on credit cards?
- ☐ What if one household income stopped for six months?
- ☐ Would I need to sell if my family circumstances changed?
- ☐ Could a decline in value leave me owing more than the sale proceeds after costs?
- ☐ Have I protected my family home from risks I do not fully understand?

The scenario I am least prepared for:

What buffer would help me manage it?

SECTION 06

Property tax: know the rules before you act

The episode discusses negative gearing, capital gains tax, the main residence exemption and potential benefits of new buildings. Tax policy can change, and the transcript contains specific claims about changes and future dates that should not be relied on without confirmation from official sources.

Four tax questions worth understanding

1. Negative gearing: If deductible investment expenses exceed assessable rental income, how would any net rental loss be treated in my circumstances?

2. Capital gains tax: What tax might apply if I sell, and what records should I keep from day one?

3. Main residence: If I upgrade, rent out part of my home or move into a former investment property, how might that affect any main residence exemption?

4. New builds: Are there depreciation or capital works deductions available, and are they enough to justify the property on its own merits?

> Tax benefits should not be the reason to buy an unsuitable property. Ask a registered tax agent to model your actual situation and verify the law in force at the time of your decision.

My questions for a tax professional

SECTION 07

Choosing the property, not just the market

Peter also discussed the appeal of buying somewhere you may want to live later in life. That can be a useful way to think about lifestyle and long-term goals, but buying a future home as an investment does not automatically make it financially sound.

Property due diligence checklist

- Location, local employment and long-term demand
- Comparable recent sales rather than asking prices alone
- Likely rental income supported by local evidence
- Building condition, pest reports and expected maintenance
- Strata records, levies and any planned capital works
- Flood, fire, insurance and other location-specific risks
- Transport, services, accessibility and future lifestyle suitability
- Planning rules and any proposed nearby development
- Independent legal review of the contract before signing

If I wanted to live in this property in 15-20 years, what would it need to offer?

SECTION 08

Your Financial Flashpoints exercise

A financial flashpoint happens when pressure, emotion and a significant financial choice collide. Property can create exactly that moment: the perfect listing appears, someone says prices are about to jump, and you feel you must decide immediately.

PAUSE: What am I feeling?

Am I being driven by excitement, anxiety, comparison with others or genuine financial goals?

WAIT: What is actually urgent?

What can safely wait while I check the figures and get advice? Do not ignore contractual deadlines.

LOOK AHEAD: Five and ten years

How would this decision affect my debt, family choices, lifestyle and retirement savings?

VALUES: What matters most?

Is it flexibility, family security, wealth creation, a home I love or freedom from debt?

EXPERT VIEW: Who can challenge my assumptions?

Which independent professionals should I consult before I sign?

SECTION 09

Questions to take to the professionals

For a mortgage broker

1. What is our total debt exposure under each option?
2. How would our repayments change if interest rates rose?
3. What happens if we use our family home as security?
4. What fees, loan structures and offset options should we compare?

For a financial adviser

5. How would buying, upgrading or waiting affect our long-term goals?
6. What would this mean for our retirement savings and cash reserves?
7. Are we putting too much of our wealth into property?
8. What alternatives should we compare on a like-for-like basis?

For an accountant or registered tax agent

9. What are the actual tax consequences of each strategy?
10. What deductions, records and potential capital gains tax issues apply?
11. How would renting part of our home or moving into an investment property affect tax?

For a conveyancer or solicitor

12. What does the contract require and what are the key deadlines?
13. Are there title, strata, planning or other legal risks we should investigate?

SECTION 10

Your 30-day action plan

Days 1-7: Clarify the goal

- Write down why you want to invest and when you may need the money.
- Complete the financial snapshot and monthly cash-flow worksheet.
- Agree on a comfortable debt limit with your partner.

Days 8-14: Compare options

- Compare an investment property, a home upgrade and waiting.
- Research real sale prices, rents and property expenses.
- List the risks you would struggle to absorb.

Days 15-21: Get independent input

- Speak to a mortgage broker about borrowing and security.
- Seek financial advice about your long-term plan.
- Ask a registered tax agent about the current rules and your circumstances.

Days 22-30: Make an informed next move

- Review your Financial Flashpoints answers.
- Decide whether to research further, adjust your budget or proceed to due diligence.
- Do not sign a contract simply because a property is available today.

My three priorities this month:

SECTION 11

Useful resources and professional help

Property and tax information

Australian Taxation Office - rental property income and deductions, capital gains tax and main residence rules
https://www.ato.gov.au/

ASIC Moneysmart - property investing, borrowing and budgeting
https://moneysmart.gov.au/

Australian Government Home Guarantee Scheme information
https://www.housingaustralia.gov.au/

Finding professional help

Find a financial adviser - Vanessa Stoykov
https://vanessastoykov.com.au/financial-advice/

FAAA Find a Planner - Financial Advice Association Australia
https://faaa.au/

Adviser Ratings - adviser profiles and client reviews
https://www.adviserratings.com.au/

ASIC Financial Advisers Register - check an adviser's registration
https://moneysmart.gov.au/financial-advice/financial-advisers-register

Tax Practitioners Board - check the registration of a tax agent
https://www.tpb.gov.au/

For local property taxes, contracts and planning rules, consult the relevant state or territory government and qualified local professionals.

A final word from Vanessa

There's a lot of noise around property. It can make you feel that everyone else has a plan and you're falling behind. But the best decision is not necessarily the one that makes the most headlines.

Peter's conversation with Maria reminds us to look beyond the usual script. Another property might be right for you. Upgrading your home might be better. Or your strongest move could be to wait, build your savings and understand your options.

The important thing is to make a decision that works for your life, not somebody else's prediction.

All the best,



Important information

This guide is general financial education and information only, not personal financial, credit, property, legal or taxation advice. Views and market predictions discussed in the episode are those of the guest and may change. Tax rules, government programs and lending criteria are subject to change. Seek appropriately qualified professional advice based on your circumstances before making a decision.

Keep the conversation going.

Watch or listen to Money Dilemmas - What Would You Do? for expert conversations about the money decisions that shape our lives. Share your own money dilemma through Vanessa's website:

WATCH MONEY DILEMMAS

vanessastoykov.com.au

HAVE A MONEY DILEMMA OF YOUR OWN?

Scan the QR code and tell us about it.

SCAN TO SHARE YOUR STORY

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